

Class 11th | BST



Unit - 1

Society

{ Social Responsibilities of
Business & { Business Ethics } (Values)

~ **Chapter 6 | Lecture 1**

CONCEPT OF SOCIAL RESPONSIBILITY

A business cannot survive for a long time by pursuing only economic objectives. Along with economic objectives, it must have some social objectives.

Social responsibility relates to the voluntary efforts on the part of businessmen to contribute to the social well-being.

Social responsibility is the obligation of businessmen towards the society. The business cannot exist in isolation.

The businessmen make use of resources of society and earn from the members of society so they must do something for the society.



Primary objective → To earn profit.

Social objective.



Raw Materials →

Workers -

Water -

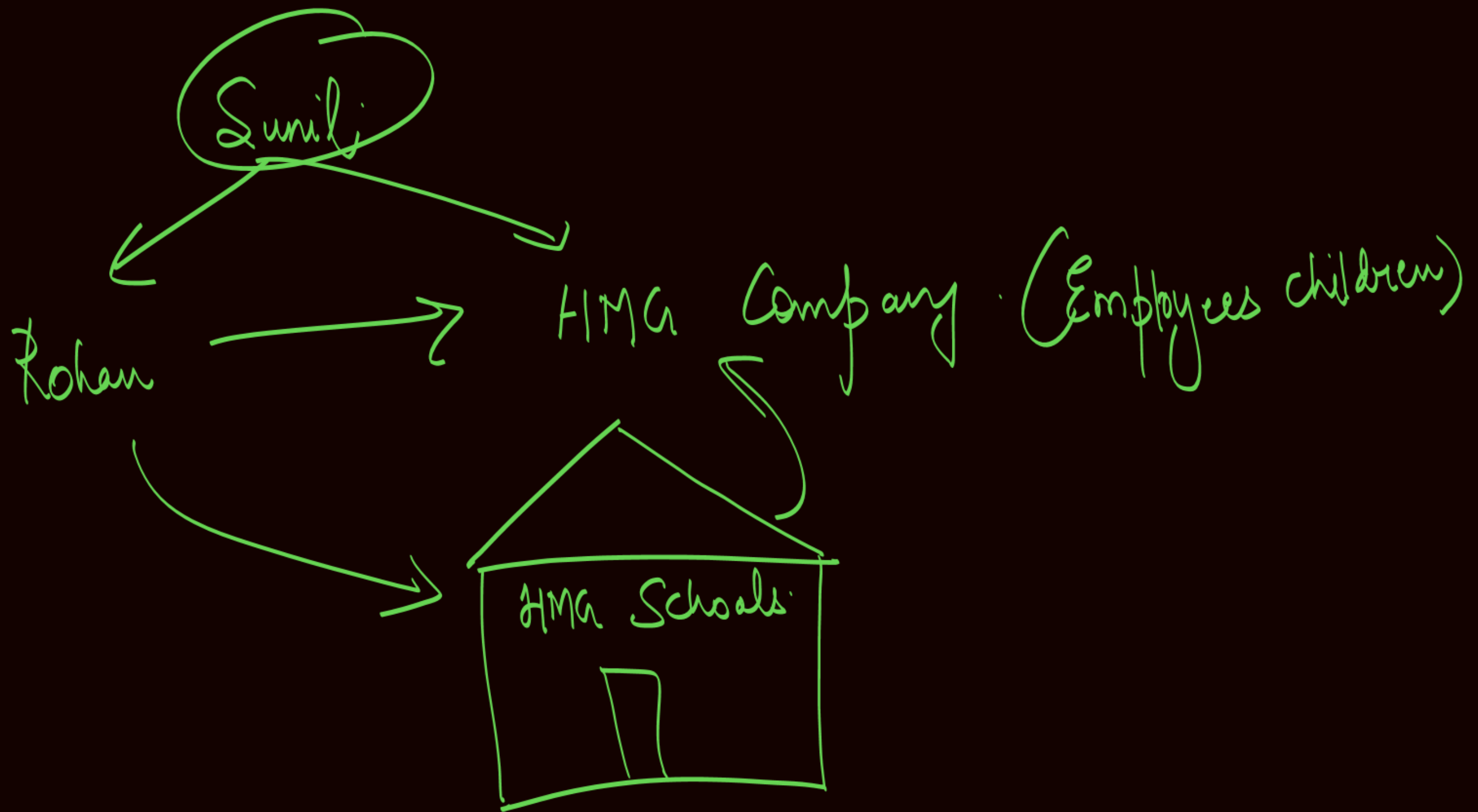
Electricity -

THE CASE FOR SOCIAL RESPONSIBILITY

→ (Reasons) Arguments

- **Self-interest:** Business is the creation of society and makes use of resources of society and if business fails to satisfy the valuable needs of society, then society can revoke back its resources. The way society is giving to business what it requires, in the same way business must give society what it wants.
- **Better Environment for Business:** Social responsibility creates better environment for business operations as social responsibility improves quality of life results in raising standard of living, so business will get better community to conduct business. The labour will be of better quality, the customer will be of better quality and society will be better so better opportunities for business will be available.





Water Bottle company →
① Dumping waste in rivers.

② ₹50 → ₹400

③ Quality not meeting standards.

Outcomes

Govt. impose fine.

Employees leave.

People will stop
buying products.

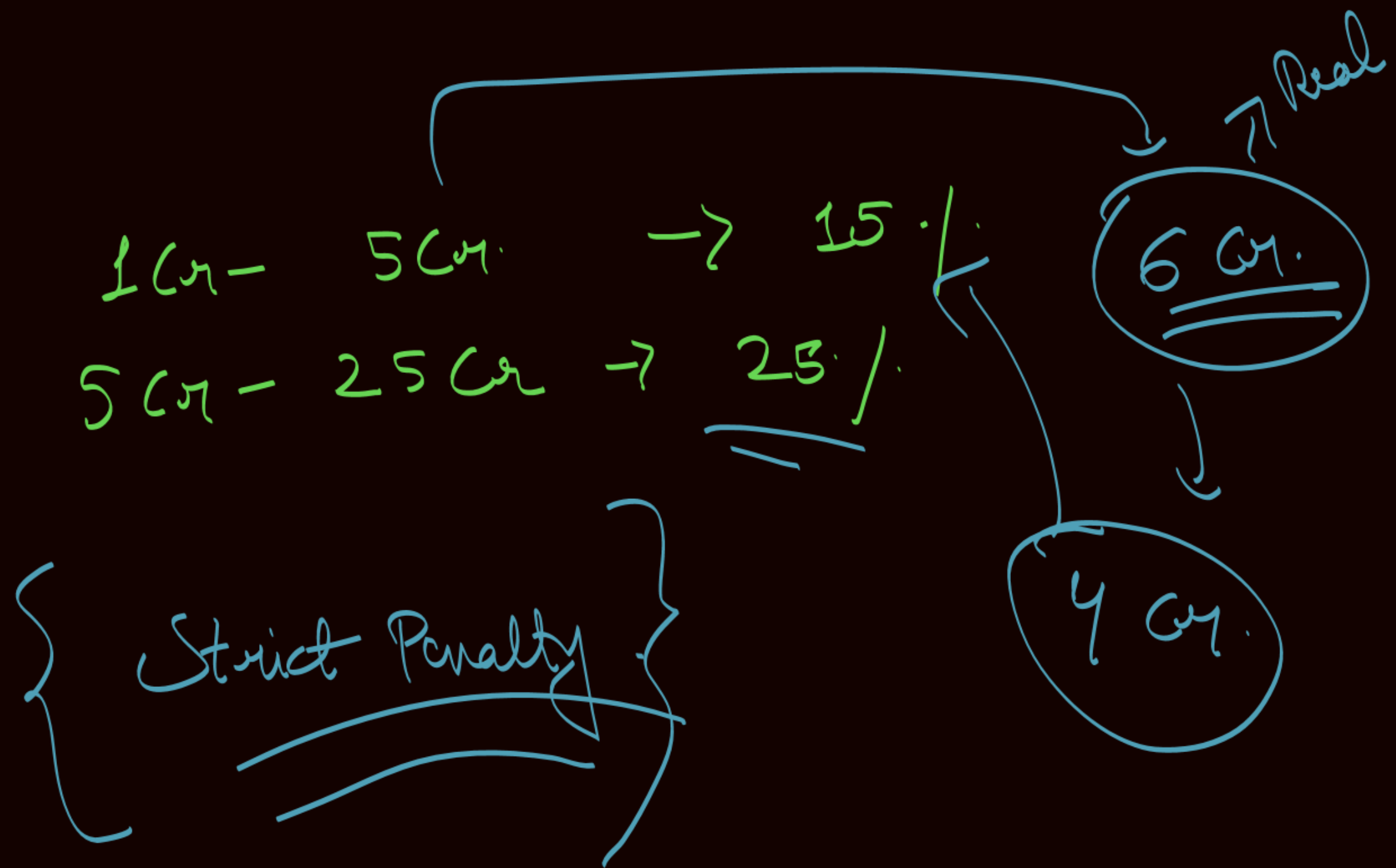
THE CASE FOR SOCIAL RESPONSIBILITY

✓ **Public Image:** Satisfied employees, workers, customers and suppliers contribute in success of business. Consumers expect better quality products at reasonable prices. Similarly, workers expect fair wages. If business is satisfying their expectations by assuming social responsibility then the businessmen can improve their image in the eyes of consumers, employees, etc.



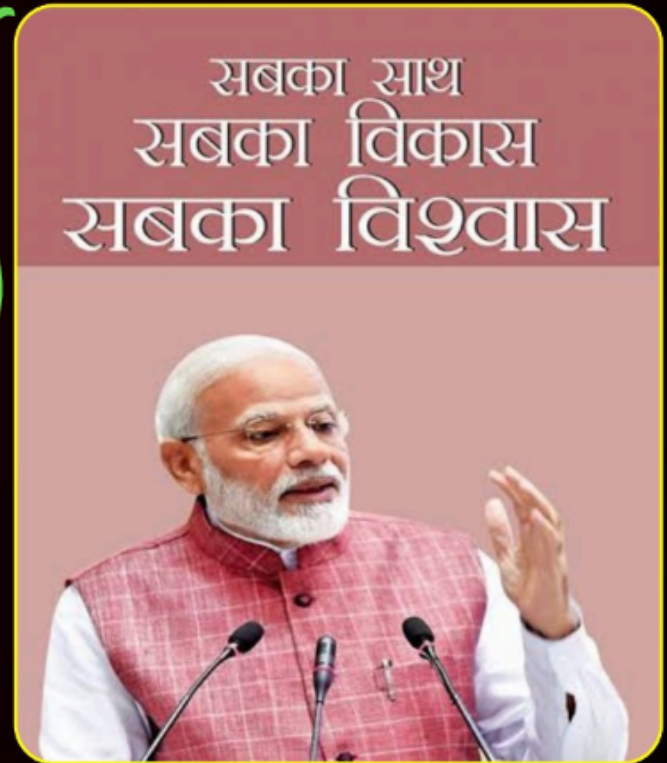
✓ **Avoidance of Government Interference:** Government intervention is costly to businessmen and restricts their flexibility and freedom of making decisions. For example, Government has passed the Consumer Protection Act to prevent adulteration, black marketing and other anti-social practices. Thus, social responsibilities are essential for avoiding governmental action against business.

कायDE मे
रहोGE तो
FAYदे मे
RAHOगे



THE CASE FOR SOCIAL RESPONSIBILITY

- ✓ **Social Power:** A business firm has considerable social power and corresponding responsibility toward the society. There must be a balance between the power and responsibility. Any imbalance opens the door to irresponsible behaviour. The power is given to meet responsibility. If businessmen avoid it, then some of its powers can be withdrawn by the government and other social groups.
- ✓ **Contribution to Social Problems:** Business has created some social problems such as pollution, creation of unsafe workplaces, discrimination, etc. Businessmen must take initiative to solve social problems because these are created as a result of business operations.



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

→ Imp.

→ Stakeholders

Responsibilities of Business towards Consumers:

- Production of safe items by maintaining quality standards
- To ensure regular supply of goods and services
- To educate customer regarding the use and contents of the product
- Being truthful in advertising
- To follow fair trade practices
- To handle consumer complaints and grievances quickly
- To design and develop the product keeping in mind the needs and requirements of the customers



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

✓ Responsibilities towards Employees:

- ✓ Providing fair compensation and benefits
- ✓ Providing good and safe working conditions
- ✓ Providing opportunities for personal growth and development
- ✓ To develop a sense of belongingness
- ✓ To provide incentives and services like housing, medical, insurance, retirement benefits, etc. ✓



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

- ✓ Responsibilities towards the Owners/Shareholders/Investors:
 - ✓ To ensure safety of investment
 - ✓ To ensure fair and regular return on investment
 - ✓ To give complete information regarding the financial position of the business
 - ✓ To ensure appreciation of investment by proper utilisation of resources
 - ✓ To give them opportunities to participate in decision-making



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

- Responsibilities towards the Government:
 - To abide by rules, regulations and laws
 - To pay taxes and duties on time
 - To help in solving social problems
 - To adopt fair dealing specially when involved in external trade so that country's reputation is maintained
 - To cooperate in planning, investigation and administrative activities of the government!



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

- Responsibilities towards the Community:

- To protect the environment from all types of pollution
- To provide more employment opportunities
- To promote national integration
- To bring improvement in the local area where the plant is located by providing amenities such as drinking water, electricity, dispensaries, etc.
- To help the weaker section of the society
- Providing economic stability
- To preserve social and cultural values



SOCIAL RESPONSIBILITY TOWARDS DIFFERENT INTEREST GROUPS

- Responsibilities towards Suppliers:
 - To ensure regular payment to the suppliers
 - To adopt fair dealings with the suppliers
 - To protect and assist small-scale suppliers by placing orders with them
 - To guide and assist the suppliers in improving quality of their products



MULTIPLE CHOICE QUESTION

Question – 1

When business firms use eco-friendly method of production, then they are performing social responsibilities towards which group?

- (a) Customer
- (b) Employees
- ☒ (c) Community
- (d) Shareholders

Answer: (c) Community

MULTIPLE CHOICE QUESTION

Question – 2

To ensure fair and regular return on investment, is related to which group?

- (a) Customer
- (b) Employees
- (c) Community
- (d) Shareholders

Answer:

MULTIPLE CHOICE QUESTION

Question – 3

The business firm which fulfils all its social obligations get benefitted in the long run, this is related to which feature of case for Social Responsibility?

- (a) Self interest
- (b) Moral justification
- (c) Social power
- (d) Avoidance of government interference

Answer:

(a) Self interest

CASE STUDY

Inn Trin Ltd is a well-known company in telecom sector. The company is committed to treat everyone fairly with respect and dignity, regardless of difference in age, caste, creed, gender, etc. It not only abides by all the laws and pays taxes on time, but also makes service and participates in social service projects. It prefers to give fair advertisement without any exaggeration, and charge fairly from its customers and maintain quality. Its managers work effectively and efficiently and minimise waste to maximize the return to their shareholders. The company is running a charitable hospital to provide medical facility to the people of that area.

In the context of above case,

By quoting the lines from the paragraph, identify different Interest groups towards which company is fulfilling its social responsibilities.

Answer:

- **Employees:** "Company is committed to treat everyone fairly with respect and dignity, regardless of difference in age, caste, creed and gender."
- **Government:** "It not only abides by all the laws and pays taxes on time."
- **Consumers:** "It prefers to give fair advertisement without any exaggeration, charge fairly from its customers and maintain quality."
- **Shareholders/Owners:** "Its managers work effectively and efficiently and minimise waste to maximize the return to their shareholders."
- **Community:** "The company is running a charitable hospital to provide medical facility to the people of that area."

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